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Optimum Earnings Timeline



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1. Optimum Broadband Losses Deepen as Leverage Looms: 3Q Preview

(Bloomberg Intelligence) -- Optimum is likely to remain pressured in 3Q by broadband competition amid scant evidence of a meaningful inflection in subscriber trends. Consensus projects roughly 47,000 residential broadband losses as aggressive fiber and fixed-wireless promotions intensify in the East and West. Comcast's recent comments about irrational fiber offers, like 1-gigabyte plans for $30-40 a month, underscore the pricing pressure. Mobile additions should remain modest. Estimates see Ebitda below $800 million, leaving guidance for full-year Ebitda growth increasingly difficult to achieve.

More broadly, lender litigation over Optimum's asset and debt restructuring clouds the path for the East and will likely limit near-term M&A. With fundamentals under pressure, focus will remain on leverage, a legal resolution and a credible path to unlocking asset value. (10/06/26)

Key Points:
- Consensus Sees Loss of Just Under 50,000 Broadband Customers
- Analysts Expect $792 Million in Ebitda
- Free Cash Flow Remains Pressured, Though Capital Intensity Is Moderating
- Mobile Has Increased Gradually, to 724,000 Lines at End of 2Q

Additional Resources:
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

2. Optimum Broadband Better as Ebitda Slump Worse: Earnings Outlook

Post-2Q Earnings Outlook: Optimum's results were mixed, with total broadband subscriber losses of 40,000 materially better than expected and broadband average per revenue exceeding forecasts, suggesting competitive trends may be stabilizing. However, weaker-than-expected Ebitda and negative free cash flow highlight the continued pressure from elevated leverage and investment needs. Attention is increasingly shifting to the company's complex capital structure from quarterly operating trends.

Though the tender offer reduced the public float, the remaining Class A shareholders appear increasingly exposed to the heavily leveraged CSC Holdings business, with the UnSub Group retaining the higher-quality East footprint and Lightpath assets. Deleveraging and capital allocation remain the key drivers of the investment case. (08/06/26)

Highlights From Recent Results:
- Broadband Losses of 40,000 in 2Q Worse Than Consensus of About 56,000
- Ebitda Declined 2.2% Amid Top-Line Pressure; 2026 Outlook for Low- to Mid-Single-Digit Drop
- Mobile Gaining Traction With 724,000 Lines, Targeting 1 Million by 2027
- Fiber Deployment Has Exceeded 3.2 Million Passings

Additional Resources:
- Earnings Release | NSN »
- Company Presentation | DOCV »

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3. Optimum Choked on Broadband, Ebitda Declines: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-1Q Earnings Outlook: Optimum's broadband business is severely challenged by intensifying telecom competition, with the operator losing 64,000 subscribers during 1Q and no respite in sight. Though the company has responded with lowering fees, price locks and more promotions, that puts downward pressure on Ebitda, causing a 1.3% decline. Guidance is for full-year Ebitda to drop by low- to digits, reflecting a challenged top line even with tight cost controls. Optimum contends with a 70% fiber overlap in its Optimum East footprint and around 50% in its western markets.

Despite optimism in Lightpath, which is a key beneficiary of the AI-driven demand boom for fiber, it's unlikely to translate into meaningful stock-price upside. Optimum's heavy $25 billion in net debt exacerbates its challenges. (05/07/26)

Highlights From Recent Results:

- Broadband Losses of 64,000 in 1Q Worse Than Consensus of About 56,000
- 2025 Ebitda Declined 2.3% Amid Top-Line Pressure; 2026 Outlook for Low- to Mid-Single-Digit Drop as Consensus Sees a 1% Decrease
- Mobile Gaining Traction as Record Net Additions of 51,600 Drives Total 674,000 Lines, Targeting 1 Million by 2027
- Fiber Deployment Has Exceeded 3.1 Million Passings, With Penetration Hitting Over 729,000 Subscribers

Additional Resources:

- Earnings Release | NSN »
- Company Presentation | DOCC »

4. Broadband Losses Mount, Leverage Looms Over Optimum: 1Q Preview

Contributing Analysts Raveeno Douglas

Optimum's broadband subscriber losses will likely persist and are expected to be akin to 4Q's 62,200, though consensus foresees sequential moderation at about 51,000. Competitive pressure from telecom fiber and fixed-wireless remains intense. A weaker top line reinforces a focus on cost discipline to limit Ebitda erosion. Simplified pricing, now extended to legacy users, could help moderate churn over time, though it introduces average revenue per user dilution risk. The absence of 2026 Ebitda and free cash flow guidance further clouds visibility on a turnaround. Mobile convergence penetration is just 8% of the base, offering growth potential but not yet offsetting broadband weakness.

Leverage of 7.3x exiting 2025 remains an overhang. Though refinancing eased near-term maturities, meaningful deleveraging is critical. (03/30/26)

Key Points:

- Consensus Sees Loss of About 51,000 Broadband Customers in 1Q
- Analysts Expect $813 Million in 1Q Ebitda; Company Has Not Issued Full-Year Guidance
- Free Cash Flow Still Pressured, Though Capital Intensity is Moderating
- Mobile Ramping Up Gradually, Reaching 622,500 Lines at 4Q's End

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

5. Optimum Broadband Dim; Convergence Not Enough: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-4Q Earnings Outlook: Optimum suffered intense competition in 4Q, shedding 62,200 broadband subscribers, leading 2025 Ebitda to fall short of guidance even with cost discipline. Average revenue

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per user grew 0.4%, driven by mobile convergence and promotional discipline. Fiber adoption is progressing, but slowing net additions dims hopes of offsetting broader broadband declines. The lack of 2026 Ebitda and free-cash-flow forecast raises concerns on competitive pressures. Still, Optimum streamlined its go-to-market strategy with simplified pricing to support convergence and multi-line mobile expansion. Mobile is approaching 1 million lines by 2027, vs. a current 623,000.

Leverage remains elevated at 7.3x, and while refinancing eases near-term risk, deleveraging is critical amid top-line pressure and FCF strain. (02/12/26)

Highlights From Recent Results:

- Broadband Losses of 62,200 in 4Q Worse Than Consensus of About 58,000
- 2025 Ebitda Declined 2.3% Amid Top-Line Pressure; Consensus for Almost 1% Drop in 2026
- Mobile Gaining Traction With 623,000 Lines, Targeting 1 Million by 2027
- Fiber Deployment Has Exceeded 3.1 Million Passings, With Penetration Hitting Over 716,000 Subscribers

Additional Resources:

- Earnings Release | NSN »
- Company Presentation | DOCC »

6. Optimum Bruised by Broadband; Ebitda May Fall Short: 4Q Preview

Contributing Analysts Raveeno Douglas

Optimum Communications is likely to post elevated broadband subscriber losses in 4Q, similar to 3Q, reflecting persistent competition from telco fixed wireless and fiber. The cable operator's fiber net adds have been solid, yet not enough to offset overall broadband pressures. Still, management has been sharpening its go-to market strategy and remains disciplined by not chasing low-margin customers. Guidance for $3.4 billion in 2025 Ebitda amid cost management appears optimistic. Challenged fundamentals heighten concerns around Optimum's elevated 7.8x leverage, suggesting debt reduction will be a top priority.

Mobile remains a bright spot, with solid net-add momentum building toward the 1 million-lines target by 2027, likely accelerating in 4Q. (01/08/26)

Key Points:

- Consensus Sees Loss of Around 58,000 Broadband Customers in 4Q
- Consensus Expects $894 Million in 4Q Ebitda, Suggesting $3.4 Billion Full-Year Guidance Is Out of Reach
- Free Cash Flow Still Pressured, With Little Relief as Capex Guidance Raised to $1.3 Billion From $1.2 Billion on Incremental Lightpath Investments
- Mobile Ramping Up Gradually, Reaching 584,400 Lines at 3Q's End

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

7. Altice Can’t Bury Broadband Woes With New Name: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-3Q Earnings Outlook: Altice USA faced intense competition in 3Q, losing 58,300 broadband subscribers, while video pressure pushed average revenue per user down 1.8%. Fiber net adds were solid at 40,400, but penetration remains low at 23%, with just 703,400 customers across roughly 3.1 million passings. Fixed-wireless and telco fiber continue to pressure growth, and softer revenue weighed on Ebitda, down 3.6%, moderated by cost controls. Management sees Ebitda improving in 2H after a 6.5% decline in 1H, affirming $3.4 billion in 2025 Ebitda, implying mid-teens 4Q growth as workforce cuts take effect.

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Bloomberg Intelligence

Free cash flow remains strained in 2025, with capex guidance raised $100 million to $1.3 billion, limiting buybacks. The company will rebrand as Optimum Communications (OPTU) this month, aligning with its consumer brand. (11/06/25)

Highlights From Recent Results:

- Broadband Losses of 58,300 in 3Q Worse Than Consensus of Approximately 43,000
- Reiterated 2025 Ebitda Guidance of Roughly Flat vs. Consensus for 2.5% Decline
- Mobile Gaining Traction With 584,000 Lines, Targeting 1 Million by 2027
- Fiber Deployment Has Exceeded 3 Million Passings, With Penetration Hitting Over 703,000 Subscribers
- Capital Spending Guidance Raised to $1.3 Billion for 2025 (Previously $1.2 Billion), Driven by Increased Spend at Lightpath

Additional Resources:

- Earnings Release | NSN »
- Company Presentation | DOCC »

8. Altice USA Ebitda Bounce Can Foil Weak Broadband: 3Q Preview

Contributing Analysts Raveeno Douglas

Altice USA, like other cable operators, is being pressured by fiber and fixed-wireless competition, which has deepened subscriber losses and hurt Ebitda. Given the subscriber weakness, the big focus will be on 2H cost controls that should drive an increase in Ebitda, especially after a weak 1H. A majority of those savings are expected in 4Q. Even with a reduction in capex, free cash flow will be under pressure, hampering de-leveraging -- a negative given the heavy debt burden.

The company reiterated 2025 guidance for $8.6-$8.7 billion in revenue and $3.4 billion in Ebitda, with capex trimmed to $1.2 billion vs. 2024's $1.4 billion. Fiber, which covers 30% of Altice USA's footprint, is a differentiator given heightened interest in rollouts. Still, we see no near-term M&A post Charter-Cox. (09/25/25)

Key Points:

- Consensus Sees Loss of Around 32,000 Broadband Customers in 3Q
- Consensus Expects About $849 Million in 3Q Ebitda Following $1.6 Billion in 1H
- Free Cash Flow Still Pressured, But May Be Flat as Capex Is Curbed
- Mobile Ramping Up Gradually, Reaching 546,400 Lines at 2Q's End

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

9. Altice USA Broadband Stable, But M&A Hopes Dim: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-2Q Earnings Outlook: Thanks to its focus on lowering churn through network upgrades and better pricing and packaging, Altice USA's broadband subscriber losses moderated to 35,100 vs. estimates of 42,000, even as fierce fixed-wireless and fiber competition pressures remain. Churn also benefited from a focus on non-paying subscribers, stemming losses. Altice is still projected to lose around 135,000 subscribers in 2025 compared with 167,000 in 2024. Near-term M&A seems unlikely given Charter's recent acquisition of Cox, while Altice's weak fundamentals and heavy debt burden continue to cloud its outlook.

Management reiterated guidance for $3.4 billion in Ebitda and $1.2 billion in capital spending vs. 2024's $1.4 billion. The company previously forecast $8.6-$8.7 billion in full-year revenue. (08/07/25)

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Highlights From Recent Results:

- Broadband Losses of 35,100 in 2Q Better Than Consensus of Approximately 42,000
- Reiterated 2025 Ebitda Guidance of Roughly Flat vs. Consensus for 1.5% Decline
- Mobile Gaining Traction With 546,400 Lines, Targeting 1 Million by 2027
- Fiber Deployment Has Exceeded 3 Million Passings

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »

10. Altice USA Broadband Pain Drags as M&A Options Fade: 2Q Preview

Even as Altice management focuses on better execution via organizational and operational changes and aims for broadband subscriber trends to stabilize in 2025, intense fiber and fixed wireless competition persists, resulting in heavy subscriber losses. 2Q will be particularly weak due to seasonality. The operator is still likely to lose at least 140,000 customers in 2024, pared slightly from 2024's 167,000 drop. Near-term M&A seems unlikely given Charter's recent acquisition of Cox with its weak fundamentals and high debt load likely to weigh on prospects.

The company is doubling down on marketing to price-sensitive customers to reduce churn, issuing guidance for $8.6-$8.7 billion in revenue this year with $3.4 billion in Ebitda. It has also lowered capex expectations to $1.2 billion vs. 2024’s $1.4 billion. (06/24/25)

Key Points:

- Consensus Sees Loss of Around 46,000 Broadband Customers in a Seasonally Weak 2Q
- Selective Fiber Deployment May Ease Capex Surge, But Buybacks Still on Pause
- Free Cash Flow Still Pressured, But May Improve as Capex Is Curbed
- Mobile Ramping Up Gradually, Reaching 508,600 Lines at 1Q's End

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

11. Altice USA in Turnabout Mode; Visibility Low: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-1Q Earnings Outlook: Despite making good progress on the operational front, Altice USA's subscriber challenges will likely persist after posting 37,000 losses even with 69,000 fiber additions in 1Q. Heavy competition from fixed-wireless and telecom fiber is clouding future prospects. Still, with financial discipline, management is paring Ebitda declines and targeting $3.4 billion in full-year adjusted Ebitda, unchanged from 2024. Mobile continues to show strength, moving steadily toward a goal of 1 million subscribers by 2027, with 49,000 adds, giving it 509,000 lines at the end of 1Q.

The company has been actively lowering capital spending and expects $1.2 billion in 2025 vs. last year's $1.4 billion. With 30% of its footprint now covered by fiber, Altice USA has strategic options in any cable consolidation. (05/08/25)

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Highlights From Recent Results:

- Broadband Losses of 36,600 in 1Q Slightly Worse Than Consensus
- 2025 Ebitda Guidance of Roughly Flat Better Than Consensus' 3.9% Ebitda Decline
- Mobile Gaining Traction With 508,600 Lines, Targeting 1 Million by 2027
- Fiber Deployment Has Reached 3 Million Passings

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »

12. Altice USA Unable to Dig Itself Out of Hole Just Yet: 1Q Preview

Contributing Analysts Raveeno Douglas

Altice USA's broadband subscriber challenges may persist despite a host of operational initiatives, with expected 1Q declines similar to 4Q's 39,000 losses. Competition from telecom fiber and fixed wireless remains intense, and while Altice is pushing hard into its own fiber product, penetration is still low. Consensus expects roughly 55,000 fiber net adds in 1Q. The company has been actively lowering capital spending with 2025 capex expected to be $1.3 billion vs. last year's $1.4 billion. With 30% of its footprint now covered by fiber, the company has strategic options in any cable consolidation.

Mobile continues to show strength, moving steadily toward a goal of 1 million subscribers by 2027, with net additions expected to sustain momentum from 4Q. (03/31/25)

Key Points:

- Consensus Sees Loss of Around 35,000 Broadband Customers in 1Q
- Selective Fiber Deployment May Ease Capex Surge, But Buybacks Still on Pause
- Free Cash Flow Continues to Be Under Pressure, But May Improve as Capital Spending Is Curbed
- Mobile Has Been Ramping Up Gradually, Reaching 459,600 Lines at the end of 2024

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

13. Altice USA Can’t Dodge Broadband, Ebitda Woes: Earnings Outlook

Contributing Analysts Raveeno Douglas

Post-4Q Earnings Outlook: Altice USA's 39,000 broadband losses in 4Q were in line with consensus, reflecting pressures in the legacy subscriber base despite strength in fiber with 57,000 new additions. Despite good near-term targets, the company is challenged from an operational standpoint, putting Ebitda -- which slumped over 5% through the year -- under pressure. That, combined with high interest rates and elevated capital spending, has weighed on free cash flow. The good news is that capex has cooled to $1.4 billion vs. 2023's $1.7 billion and will likely fall lower in 2025. Also, there are opportunities to lower costs and refresh the rate card.

Mobile is gaining traction with a target of 1 million subscribers by 2027, which suggests around 45,000 gains per quarter. Altice USA gained 40,000 in 4Q to end 2024 at 460,000. (02/13/25)

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Highlights From Recent Results:
- Broadband Losses of 39,300 in 4Q Were in Line With Consensus
- Consensus Sees 2.3% Ebitda Decline in 2025
- Mobile Gaining Traction, But Still Has Only 459,600 Lines; Targeting 1 Million by 2027
- Fiber Deployment Has Reached 3 Million Passings, Additional 175,000 Expected in 2025

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

14. Despite Green Shoots, Altice USA Severely Challenged: 4Q Preview

Altice USA will likely continue posting subscriber losses, though they may moderate slightly from 3Q's 49,000. Still, fiber additions have been encouraging. Even with opportunities to improve execution, lower costs and reset its rate card, we worry about falling Ebitda that complicates the thesis given high levels of debt that will lead to a dilution of value for equity holders. A combination of weak Ebitda, high interest rates and elevated capital spending has pressured free cash flow. Capex likely cooled to $1.5 billion in 2024 from 2023's $1.7 billion, and will probably fall lower in 2025, though that would suggest fewer fiber builds.

The operator has improved its performance in mobile and outlined a target of 1 million subscribers by 2027, which suggests around 45,000 gains per quarter. It had 420,000 in 3Q. (01/13/25)

Key Points:
- Consensus Sees Loss of Around 39,000 Broadband Customers in 4Q
- Fiber Deployment Cools, But Buybacks Still on Pause
- Free Cash Flow Continues to Be Under Pressure, But May Improve as Capital Spending Is Curbed
- Mobile Has Been Ramping Up Gradually, Reaching 420,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

15. Altice USA Broadband Slump, Ebitda Woes Linger: Earnings Outlook

Post-3Q Earnings Outlook: Altice USA suffered more broadband defections in 3Q with over 50,000 customer losses, partly due to the sunset of the ACP subsidy program. But even as ACP effects fade, heavy fiber and fixed wireless competition suggests it will be a while before the operator returns to positive subscriber gains. Fiber additions were strong at 47,000, yet penetration is low at 17%, with only 482,000 customers out of 2.9 million passings. The soft results are weighing on Ebitda, which fell 6% in 3Q, with consensus projecting over a 10% slide for the full year.

A combination of weak Ebitda, high interest rates and elevated capital spending has pressured free cash flow. Even with capex cooling to around $1.5 billion this year from 2023's $1.7 billion, free cash flow could still be down around 65-70% this year. (11/05/24)

Highlights From Recent Results:
- Broadband Losses of 50,000 in 3Q Were Worse Than Expected, Partly Due to ACP Shutdown
- Consensus Sees 10% Ebitda Decline in 2024
- Mobile Gaining Traction, But Still Has Only 420,000 Lines; Targeting 1 Million by 2027
- Fiber Deployment Has Slowed With Only 2.9 Million Passings and Penetration Still Low

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

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16. Altice USA Hurt by Bruised Broadband, Cash-Flow Dive: 3Q Preview

Contributing Analysts Raveeno Douglas

Like other cable operators, Altice USA has faced intense telecom competition from fixed wireless access and fiber, as well as the end of the Affordable Connectivity Program's broadband subsidy -- which will likely cause involuntary churn in 3Q. Soft results will weigh on Ebitda, which may decline by mid-single digits. A combination of weak Ebitda, high interest rates and elevated capital spending has pressured free cash flow. Even with capex cooling to under $1.6 billion this year vs. 2023's $1.7 billion, free cash flow may barely break even in 3Q.

The telecom-convergence frenzy is gaining steam, with Verizon-Frontier, T-Mobile and AT&T raising broadband targets. This limits visibility on when Altice USA's fundamentals will improve, even as it contends with reputational struggles and a heavy debt load. (10/05/24)

Key Points:
- Consensus Sees Loss of Around 43,000 Broadband Customers in 3Q
- Fiber Deployment Cools, But Buybacks Still on Pause
- Free Cash Flow Continues to Be Under Pressure From Capex, Cash Taxes, But May Hit Breakeven in 3Q
- Mobile Has Been Ramping Up Gradually, Reaching 384,500 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

17. Altice USA One-Two Punch on Churn, Cash Burn: Earnings Outlook

Post-2Q Earnings Outlook: Things keep getting worse at Altice USA with the operator posting 51,000 broadband-subscriber losses in 2Q, partly due to the shutdown of the ACP subsidy aside from intense telecom competition. The soft results weighed on Ebitda, which came in lower than consensus. A combination of weak Ebitda, high interest rates and elevated capital spending has been pressuring free cash flow. That said, capex has been cooling with management now anticipating under $1.6 billion this year vs. 2023's $1.7 billion. Free cash flow of negative $41 million was worse than expected due to higher cash taxes.

A combination of fundamental and economic challenges will continue to pressure the company, which has been contending with intensive competitive headwinds, reputational struggles and a heavy debt load. (08/01/24)

Highlights From Recent Results:
- Broadband Losses of 51,000 in 2Q Were Worse Than Expected, Partly Due to the ACP Shutdown
- Consensus Sees 3% Ebitda Decline in 2024
- Mobile Gaining Traction, But Still Has Only 385,000 Lines
- Fiber Deployment Has Slowed With Only 2.84 Million Fiber Passings of a Total 9.75 Million

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

18. Altice USA's Broadband-Subscriber Carnage Continues: 2Q Preview

Altice USA is unlikely to catch a break in its broadband business as it faces headwinds from intensifying fiber and fixed-wireless competition with losses potentially surging 60% from 1Q's 29,400 declines. Apart from competition, the company faces an overhang from the ACP broadband-subsidy shutdown

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as well as historical reputational issues, indicating to us that an eventual inflection in the business will take time.

A combination of weak Ebitda, high interest rates and elevated capital spending has been pressuring free cash flow. That will make deleveraging ($25 billion in debt) a challenge. Still, capex has been cooling and may settle at $1.6 billion this year vs. 2023's $1.7 billion. Though consensus expects 2024 free cash flow to be similar to 2023 at $140 million, it's over 90% lower vs. 2021. (07/01/24)

Key Points:
- Consensus Sees Loss of Around 46,000 Broadband Customers in 2Q
- Free Cash Flow Has Returned to Positive and May Rise Modestly vs. 2023 But Will Be 90% Below 2021
- Fiber Deployment Cools, But Buybacks Still on Pause
- Mobile Has Been Ramping Up Gradually, Reaching 352,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

19. Altice USA Turnaround Still a Work in Progress: Earnings Outlook

Post-1Q Earnings Outlook: Altice USA's broadband unit continues to struggle, with 30,000 subscriber declines in 1Q, even with growing traction in its fiber business. The issues for Altice USA and the broader cable sector have been intensifying competition from fixed wireless and fiber. That, combined with the overhang from the ACP broadband-subsidy shutdown as well as historical reputational issues, indicates to us that an eventual inflection in the business will take time.

A combination of weak Ebitda, high interest rates and elevated capital spending has been pressuring free cash flow. Yet capex has been cooling and may settle at $1.65 billion this year vs. 2023's $1.7 billion. Free cash flow was positive in 1Q at $64 million, and though consensus is for full-year FCF to be similar to 2023, it's 92% lower vs. 2021. (05/02/24)

Highlights From Recent Results:
- Broadband Losses of 30,000 in 1Q Were Above Consensus, Though Fiber Additions Picked Up
- Consensus Sees 2% Ebitda Decline in 2024
- Mobile Gaining Traction, But Still Has Only 352,000 Lines
- Altice USA Now Has 2.8 Million Fiber Passings Out of a Total 9.7 Million

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

20. Altice USA Braces For Broadband Pain, M&A Buzz Fades: 1Q Preview

Altice USA is unlikely to catch a break from its string of broadband subscriber losses with 1Q declines likely to mimic 4Q's 27,000. The bigger news was a report that Charter was exploring a takeover of the company. Altice USA is committed to its fiber initiatives and has cut the pricing on its broadband plans given an extremely competitive footprint in the New York metro which will exert downward ARPU pressure but should help curb churn. That, along with customer losses could cause a low-single-digit slump in Ebitda.

Capital spending has been cooling and may settle at $1.6 billion this year after the operator spent over $1.9 billion in 2022 on its fiber rollout, and $1.7 billion last year. Free cash flow will be positive in 1Q but consensus expects full year FCF to be 24% lower vs 2023 and 94% lower than 2021. (04/05/24)

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Key Points:
- Consensus Sees Loss of Around 23,000 Broadband Customers in 1Q
- Free Cash Flow Has Returned to Positive But May Still Decline 24% in 2024
- Fiber Deployment Cools, But Buybacks Still on Pause
- Mobile Has Been Ramping Up Gradually, Reaching 322,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

21. Altice USA Curbs Capex, Focuses on Execution: Earnings Outlook

Post-4Q Earnings Outlook: Altice USA is making progress operationally, with ARPU and cost management helping to stabilize Ebitda, which saw a 1% decline in 4Q. This year will mark another transition period, though management expects positive free cash flow after $122 million in 2023. The company remains committed to its fiber initiatives, with 46,000 customer additions in 4Q for a total of 341,000. This, however, wasn't enough to offset core-customer losses, with net defections of 29,000. Fiber penetration is now at 12% and Altice USA looks to pass 3 million homes by year-end. Mobile was a standout with accelerated gains of 34,000 lines for a total of 322,000.

Capital spending was $1.7 billion in 2023, but the company expects that to moderate this year, with capital intensity of 13% in 4Q, down from 25% in 1Q. (02/15/24)

Highlights From Recent Results:
- Broadband Losses of 29,000 in 4Q Were Above Consensus, Though Fiber Additions Picked Up
- Consensus Sees 1.5% Ebitda Decline in 2024
- Mobile Gaining Traction, But Still Has Only 322,000 Lines
- Altice USA Now Has 2.74 Million Fiber Passings Out of a Total 9.7 Million

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

22. Altice USA Braces for More Losses, Slashes Prices: 4Q Preview

Altice USA will likely post fewer broadband subscriber losses in 4Q than the 31,000 of 3Q, but its turnaround still has a long way to go. The operator's fiber rollout is bearing fruit, with a total base of 295,000, though it's probably not enough to offset nonfiber declines. Altice recently cut prices across its broadband tiers to prevent high customer churn. Free cash flow was under pressure on higher spending in 1H but that improved in 3Q, reaching $121 million, and an acceleration is expected in 4Q. The cable industry faces a slowdown and Altice's woes have been compounded by its high leverage and operational struggles.

Growth in mobile accelerated, reaching 288,000 lines. The company has pulled back capital spending, which suggests that capex could be lower than its projection of $1.7 billion (01/18/24)

Key Points:
- Consensus Sees Loss of Around 21,000 Broadband Customers in 4Q
- Free Cash Flow Returned to Positive in 3Q But May Still Decline 85% in 2023
- Fiber Deployment Cools, But Buybacks Still on Pause
- Mobile Has Been Ramping Up Gradually, Reaching 288,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Analyst Estimates and Models | MODL »

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23. Altice USA Beats Low Bar, Cash Flow Improves: Earnings Outlook

Post-3Q Earnings Outlook: Altice USA lost 31,000 broadband subscribers in 3Q, but adjusted Ebitda came in slightly better than expected, suggesting a turnaround may be gradually taking shape. The fiber rollout is bearing fruit, with 45,000 gains in the quarter for a total base of 295,000, though we're skeptical it's enough to offset non-fiber declines. A pull-forward in outlays crushed 1H free cash flow, but that improved in 3Q with $121 million in positive FCF. The cable industry as a whole is facing a slowdown, but Altice USA's woes have been compounded by its high leverage and operational struggles.

Growth in mobile accelerated with a total of 288,000 lines. The company has pulled back capital spending, suggesting capex could be lower than its prior projections for $1.7 billion. (11/02/23)

Highlights From Recent Results:
- Broadband Losses of 31,000 in 3Q Were In Line With Consensus, Though Fiber Additions Picked Up
- Consensus Sees 8% Ebitda Decline in 2023
- Mobile Is Gaining Traction But Still Has Only 288,000 Lines
- Altice USA Now Has 2.72 Million Fiber Passings Out of a Total 9.7 Million

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

24. Altice USA Free Cash Flow Better, But Broadband Weak: 3Q Preview

Altice USA's broadband slump will likely extend through the rest of 2023, with a potential decline of roughly 30,000 broadband subscribers in 3Q. Yet its fiber rollout seems to be bearing fruit, with the operator building up a total base of 250,000, though it will take a while for the gains to offset other user losses. The deployments, however, have pushed up capital spending (20% capital intensity). A pull-forward in outlays crushed 1H free cash flow, but that will probably get better in 2H. Still, full-year FCF may slide 75%. Overall, cable as a whole is facing a slowdown, but Altice USA's woes are compounded by its high leverage and operational struggles.

Growth in mobile has been lackluster, with only 264,000 lines. The company took a spending pause, suggesting that capex could be lower than $1.7 billion. (10/05/23)

Key Points:
- Consensus for Altice USA to Lose Around 30,000 Broadband Customers in 3Q
- Free Cash Flow Should Return to Positive in 3Q But May Still Decline 75% in 2023
- Mobile Has Been Ramping Up Gradually, With 264,000 Lines
- Fiber Deployment Is Cooling, But Buybacks Still on Pause

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

25. Altice USA Can’t Catch Break on Free Cash Flow: Earnings Outlook

Post-2Q Earnings Outlook: Altice USA's broadband slump will likely extend through the rest of 2023, given a decline of 37,000 broadband subscribers in 2Q. That said, its fiber rollout seems to be bearing fruit, with the operator adding 40,000 new customers in the quarter for a total base of 250,000, though it will take a while for the fiber gains to offset other user losses. The deployments, however,

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have pushed up capex (20% capital intensity). A pull-forward in spending is crushing free cash flow. A cash burn of $35 million in 2Q is down from $166 million in 1Q.

Growth in mobile has been lackluster, with 16,000 additions for a total of 264,000 mobile lines. The company had previously said it expects $1.7-1.8 billion in capex, but a spending pause could take pressure off free cash flow. (08/03/23)

Highlights From Recent Results:
- Broadband Losses of 37,000 in 2Q Were Worse Than Consensus, Though Fiber Adds Picked Up
- Consensus Sees 8% Ebitda Decline in 2023
- Mobile Is Gaining Traction But Still Has Only 264,000 Lines
- Altice USA Now Has 2.66 Million Fiber Passings and Is Targeting 3 Million Homes by 2023

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

26. Altice USA Free Cash Flow Dives as Broadband Bruised: 2Q Preview

Despite Altice USA's slightly better-than-feared broadband performance in 1Q, with 19,000 customer losses, seasonality will be a key factor in 2Q and may combine with deteriorating macroeconomic conditions to cause around 30,000 declines. However, the fiber strategy seems to be progressing, with 38,000 additions, suggesting a slow turnaround that could start to pick up in 2H. Even so, fiber penetration is still low given 210,000 users out of a total 2.4 million passings.

Though the company has dialed down its original fiber-upgrade plans, it expects $1.7-$1.8 billion in capital spending, suggesting that free cash flow (FCF) will be pressured. A pull forward in spending resulted in $166 million of cash burn in 1Q and may prompt negative FCF again in 2Q even as consensus projects breakeven. (07/05/23)

Key Points:
- Consensus for Altice USA to Lose Around 30,000 Broadband Customers in 2Q
- Fiber Deployment Is Cooling, But Buybacks Still on Pause
- Free Cash Flow in Free Fall as Investments Elevated, May Decline Over 75% in 2023
- Mobile Has Been Ramping Up Gradually, With 248,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

27. Altice USA Holds Up Amid Free-Cash-Flow Plunge: Earnings Outlook

Post-1Q Earnings Outlook: Despite total broadband customer losses of 19,000 in 1Q, Altice USA's fiber strategy seems to be progressing with 38,000 new additions, suggesting that things may be turning around slowly. That said, fiber penetration is still low given 210,000 users out of a total 2.4 million passings. The 3% drop in average revenue per user implies limited pricing power amid intense competition apart from heavy promotions. Mobile may have also gathered momentum recently with 248,000 total users.

Despite the company dialing down its original fiber-upgrade plans, it still expects $1.7-$1.8 billion in capital spending, suggesting that free cash flow will be under pressure, albeit positive for the full year. Elevated capex in 1Q weighed on FCF, prompting cash burn of $166 million. (05/04/23)

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Highlights From Recent Results:
- Broadband Losses of 19,000 in 1Q Were In Line With Consensus, as Fiber Adds Picked Up
- Consensus Sees 7% Ebitda Decline in 2023
- Mobile Is Gaining Traction But Still Has Only 248,000 Lines
- Altice USA Now Has 2.4 Million Fiber Passings and Is Targeting 3 Million Homes by 2023

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

28. Altice USA Broadband Still Shaky Amid Green Shoots: 1Q Preview

Altice USA's broadband losses may extend into 1Q, with management suggesting the better-than-expected 4Q results may have been a blip given it was a seasonally strong quarter. Still, the company has said its turnaround efforts should bear fruit through the year. Fiber penetration has been weak, with only 172,000 customers out of a potential 2.16 million homes. Adjusted Ebitda has also been under pressure and may fall 12% though the bigger issue is the decline in free cash flow (FCF). FCF will remain stressed, with the company's guidance for elevated 2023 capex investments at $1.7-$1.8 billion albeit lower than last year's $1.9 billion. The operator will review its fiber strategy as it targets 900,000 new homes passed in 2023 vs. 1.6 million earlier.

Unlike at peers, mobile hasn’t gained much traction, at only 240,000 lines. (04/03/23)

Key Points:
- Consensus for Altice USA to Lose Around 16,000 Broadband Customers in 1Q
- Fiber Deployment Is Cooling But Buybacks Still on Pause
- Mobile Has Been Ramping Up Gradually, With 240,000 Lines
- Free Cash Flow in Free Fall as Investments Elevated, May Decline 42% in 2023

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

29. Altice USA Beats on Broadband; Cash Flow Drops: Earnings Outlook

Post-4Q Earnings Outlook: Altice USA's broadband losses of 7,700 in 4Q were better than consensus' 30,000 decline, but it may still take a while to show additions. Fiber penetration has been weak, with only 172,000 customers on 2.16 million passings. Adjusted Ebitda is under strain, falling 16%, though the bigger issue was the pressure on free cash flow. Elevated capital spending on fiber rollouts triggered $82 million in 4Q free-cash-flow losses. FCF will remain stressed, with the company's guidance for elevated 2023 capex investments at $1.7-$1.8 billion. Altice will review its fiber strategy after 2023. For this year, it's targeting 900,000 new passings vs. 1.6 million earlier.

Unlike peers, mobile hasn’t gained much traction, with only 240,000 lines. (02/23/23)

Highlights From Recent Results:
- Broadband Losses of 7,700 in 4Q Were Much Better Than Consensus, Showing Good Improvement
- Consensus Sees Low-Single-Digit Ebitda Decline in 2023
- Altice USA Slowing Its Fiber-to-the-Home Rollout, Targeting 3 Million Homes by 2023
- Mobile Hasn't Made Much Progress, With Only 240,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

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30. Altice USA Faces Pain on Capex Bump, Broadband Slump: 4Q Preview

Altice USA will continue its streak of broadband subscriber losses, and high telecom competition and muted fiber penetration suggest it will take time to turn the corner. This may mean the company struggles to post user gains in 2023. Customer adoption among the 1.9 million homes with access to its fiber has been low, making us skeptical about a near-term subscriber inflection. The company's goal was for fiber to reach 2.5 million homes by year-end 2022 and 6.5 million by 2025. But higher capex from fiber deployments will weigh on free cash flow, prompting a 50% plunge in 4Q. Capex will stay elevated till 2025-26.

The company reiterated expectations of $1.7-$1.8 billion in 2022 capex. Unlike peers, mobile hasn’t gained much traction, with only 236,000 lines. Dropping the Suddenlink sale removes a key catalyst.
(01/13/23)

Key Points:
- Consensus for Altice USA to Lose Around 30,000 Broadband Customers in 4Q
- Free Cash Flow in Free Fall as Investments Ramp Up, May Post 50% Drop in 4Q
- Fiber Deployment Will Accelerate, Shifting Focus Away From Buybacks
- Mobile Has Been Ramping Up Gradually With 236,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

31. Broadband Purge, Fiber Splurge Cuts Altice USA: Earnings Outlook

Post-3Q Earnings Outlook: Altice USA was unable to reverse its broadband user losses with 3Q declines of 43,000, and low housing activity and high telecom competition suggest it will take time to turn the corner. Still, there have been positives with 1.9 million fiber passings allowing the company to add 31,000 new fiber users for a total of 135,000, though we're skeptical whether this can bring a near-term subscriber inflection. The company's goal is to reach 2.5 million fiber homes by year-end and 6.5 million by 2025. However, higher capex from fiber deployments will weigh on free cash flow prompting a 65% decline in 3Q.

The company reiterated expectations of $1.7-$1.8 billion in 2022 capex. Unlike cable peers, mobile hasn’t gained much traction with only 236,000 lines. There was no update on the Suddenlink sale.
(11/03/22)

Highlights From Recent Results:
- Broadband Losses of 43,000 in 3Q Were Similar to 2Q Consensus and 4Q May Not Be Better Given Poor Backdrop
- Guidance for Mid-Single-Digit Ebitda Decline in 2022
- Altice USA Accelerating Fiber-to-the-Home Rollout, Targeting 6.5 Million Homes by End of 2025, With Up to $1.8 Billion of Capex in 2022
- Mobile Hasn't Made Much Progress With Only 236,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

32. Altice USA Broadband Rout Persists, M&A Buzz Builds: 3Q Preview

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Bloomberg Intelligence

Altice USA's soft broadband subscriber trends are unlikely to reverse in 3Q, with the company saying that additions may not turn positive until 2023, though there is a slim chance that it could happen in 4Q. Management cited competition in its Suddenlink footprint and lower move activity in Optimum areas as reasons for the bleak outlook. The main focus, however, will be the potential sales of either all of Suddenlink (around 1.8 million broadband customers) or select geographic clusters, with the company receiving a first round of bids.

An accelerated fiber rollout has given it 1.6 million passings with a goal to reach 2.5 million by year-end and 6.5 million by 2025. However, higher capex from fiber deployments may cause 2022 free cash flow to plunge 56%. Mobile is accelerating after a revamp, with 231,000 lines. (10/12/22)

Key Points:

- Consensus for Altice USA to Lose 23,000 Broadband Customers in 3Q
- Free Cash Flow in Free Fall as Investments Ramp Up, May Post 55% Drop in 2022
- Fiber Deployment Will Accelerate, Shifting Focus Away From Buybacks
- Mobile Has Been Ramping Up Gradually With 231,000 Lines

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

33. Altice USA Turnabout Takes Time Amid M&A Buzz: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-2Q Earnings Outlook: Altice USA's organic residential broadband losses of 47,900 users were more than double consensus, confirming fears about a significant overall broadband slowdown. Though the company expects growth as soon as 2H, we remain cautious given the weak economic backdrop and worsening competitive environment. Still, the main focus will be a potential sale of its Suddenlink asset for as much as $20 billion. The price may be a sticking point, but the unit is attractive given it's underpenetrated and is in rural markets with limited competition.

The company is accelerating its fiber rollout with nearly 1.6 million passings and a goal to reach 2.5 million by year-end and 6.5 million by 2025. Mobile also seems to be accelerating after a revamp, with 231,000 lines. (08/04/22)

Highlights From Recent Results:

- Broadband Losses in 2Q Worse Than Consensus and 2H May Not Be Better Given Poor Backdrop
- Guidance for Mid-Single-Digit Ebitda Decline in 2022, Fell 8.8% in 2Q
- Altice USA Accelerating Fiber-to-the-Home Rollout, Targeting 6.5 Million Homes by End of 2025, With Up to $1.8 Billion of Capex in 2022
- Mobile Is Picking Up, With 33,000 Ads for a Total 231,000 Lines

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

34. Altice USA Fiber Frenzy May Not Ease User Downdraft: 2Q Preview

Weak subscriber trends are unlikely to reverse at Altice USA, which may post 2Q declines similar to 1Q's 13,000 broadband losses. Still, the company has made good progress on its fiber initiatives, and 100,000 customers suggest that it may have gained 19,000 fiber users in 2Q vs. 11,000 in 1Q. The aggressive rollouts may drive positive 2H broadband growth as the company expects to cover 1.3

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million homes with fiber in 2022 for a total of 2.5 million by year-end and 6.5 million by the end of 2025. Video will continue to be a pain point amid sustained customer losses.

The higher capex associated with fiber deployments (around $1.7-$1.8 billion this year vs. an average $1.2 billion) may again weigh on free cash flow, after it plunged over 60% in 1Q. Mobile has been a slow build with only 198,000 lines. (07/14/22)

Key Points:
- Consensus Expects Altice USA to Lose 14,200 Broadband Customers in 2Q
- Free Cash Flow in Freefall as Investments Ramp Up, May Post Drop of Over 50% in 2Q
- Fiber Deployment Will Accelerate, Shifting Focus Away From Buybacks
- Mobile Has Been Underwhelming With Just 198,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

35. Altice USA's Data Downer; Fiber Boost Coming: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-1Q Earnings Outlook: Though Altice USA's 13,000 broadband user losses are disappointing, the company could be on track for a back-half recovery as its fiber rollout should bear fruit. The decline led to a 7.7% decrease in Ebitda. The operator has ramped up capital expenditures to support fiber rollouts as well as new builds, but that triggered a 61% plunge in 1Q free cash flow and paused buybacks. It now has 1.32 million fiber passings and expects to have 2.5 million by year-end and 6.5 million by the close of 2025. Capex is anticipated to reach around $1.7-$1.8 billion this year and may stay elevated in 2023-24.

Mobile gains were still underwhelming, with only 12,000 for a total of 198,000 lines. But an expanded agreement with T-Mobile and rebrand might help accelerate growth given low penetration. (04/29/22)

Highlights From Recent Results:
- Broadband Losses in 1Q Worse Than Consenus, But 2H May Be Better
- Guidance for Mid-Single-Digit Ebitda Decline in 2022, Fell 7.7% in 1Q
- Altice USA Accelerating Fiber-to-the-Home Rollout, Targeting 6.5 Million Homes by End of 2025, With Up to $1.8 Billion of Capex in 2022
- Mobile Has Underwhelmed, With Only 198,000 Lines Since Launch

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »
- Company Presentation | DOCV »

36. Altice USA Fiber Splurge Prompts Ebitda, FCF Purge: 1Q Preview

Altice USA may report anemic 1Q broadband customer additions given intense competition from Verizon and a general cable slowdown. To counter this, the operator is accelerating its fiber deployment, aiming for 1.3 million new passings this year for a total of 2.5 million homes. Yet the rollout may bear fruit only in 2H. The user slowdown will crimp Ebitda, which may fall by mid- to high-single digits, while free cash flow (FCF) may plummet by over 60% given the ramp-up in capital spending. Guidance calls for capex of $1.7-$1.8 billion in 2022. Altice USA reported 3,300 data losses in 2021 vs. 72,000 gains pre-pandemic.

The company has paused buybacks to focus on the fiber rollout. Mobile has underwhelmed with only 186,000 lines,though it's undergoing a rebrand. The Suddenlink footprint is also being rebranded as

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Optimum. (04/06/22)

Key Points:
- Consensus Expects Altice USA to Post 1,763 New Broadband Gains in 1Q
- Fiber Deployment Will Accelerate, Shifting Focus Away From Buybacks
- Free Cash Flow in Freefall as Investments Ramp Up, May Post Over 60% Drop in 1Q
- Mobile Has Been Underwhelming With Only 186,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

37. Altice USA Speeding Fiber May Crimp Cash Flow: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-4Q Earnings Outlook: Altice USA's accelerated fiber deployment positions the company to cover 6.5 million homes by 2025 and will help it better compete with Verizon and other telecoms, but it's poised to further hurt free cash flow. Guidance calls for capital spending of $1.7-$1.8 billion in 2022, and it could be even higher in 2023-24. While free cash flow was about $1.6 billion in 2021, it may be 40% lower in 2022, based on consensus, with Ebitda expected to fall by mid-single digits in 2022. Altice USA reported around 1,900 organic broadband-customer losses in 4Q and a total of 3,300 defections in 2021 vs. about 72,000 additions pre-pandemic.

The company has paused buybacks to focus on the fiber rollout. Mobile underwhelmed, with only 5,000 new lines in 4Q for a total of 186,000 at the end of 2021. (02/17/22)

Highlights From Recent Results:
- Broadband Losses in 4Q Were Slightly Better Than Guidance, But Full-Year Performance Tepid
- Guidance for Mid-Single-Digit Ebitda Decline in 2022
- Altice USA Accelerating Fiber-to-the-Home Rollout, Targeting 6.5 Million Homes by End of 2025, With Up to $1.8 Billion of Capex in 2022
- Mobile Has Underwhelmed, With Only 186,000 Lines Since Launch

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

38. Altice USA Ebitda, Cash Flow Crimped Amid Turnaround: 4Q Preview

Contributing Analysts Kevin Near (Media)

Altice USA's lowered 2021 guidance for broadband subscribers projects 5,000-10,000 losses vs. a prior forecast of flat to a slight gain, which implies 3,000-8,000 subscriber defections in 4Q and we believe suggests lost market share. Pre-pandemic, Altice USA averaged 72,000 additions annually but it has struggled to grow given poor execution amid intensifying Verizon FiOS competition. Though the cable operator is trying to turn things around with more fiber investment, this will take time, causing Ebitda to fall by mid-single digits in 2022 as revenue falls by low-single digits. Buybacks are paused.

Consensus expects free cash flow to show a 2021 drop of 15% and fall another 35% in 2022. This year will be a transitional one as management makes sizeable investments to reaccelerate subscriber growth. (01/18/22)

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Key Points:
- Altice USA Expects a Disappointing 2021, With 5,000-10,000 Full-Year Broadband Losses
- Fiber Deployment Will Ramp Up, Shifting Focus Away From Buybacks
- Free Cash Flow in Freefall as Investments Ramp Up, May Post 15% 2021 Drop
- Mobile Has Been Underwhelming With Only 181,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

39. Altice USA in Turnaround Mode, Miss Not as Bad: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-3Q Earnings Outlook: Altice USA's broadband subscriber declines in 3Q are cause for concern, yet the 13,000 losses weren't as bad as guidance for 15,000-20,000, suggesting a rebound may be in progress and that the slump is likely transitory. Management singled out competitive pressures in the Verizon FiOS footprint. Gains will be anemic in 4Q, with an estimated 2,000 additions for flattish full-year results vs. an average 72,000 pre-pandemic. The company has hit the brakes on aggressive buybacks, choosing to deploy capital for investments that would accelerate its fiber rollout (with a target of 2.5 million homes by year-end 2022) and raising capital spending by around 35% to $1.7-$1.8 billion.

Mobile growth has underwhelmed with 181,000 lines to-date, but accelerated investment is expected to rev up advances. (11/05/21)

Highlights From Recent Results:
- Broadband Losses in 3Q Were Slightly Better Than Guidance, But Full-Year Performance Tepid
- Guidance for 2021 Revenue, Ebitda Growth
- Altice USA Accelerating FTTH Rollout, Targeting 2.5 Million Homes by End-2022, With Up to $1.8 Billion of Capex in 2022
- Lowering Buybacks, Now Targets Under $1 Billion vs. $1.5 Billion Earlier

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

40. Altice USA Slips on Execution as Broadband Users Dip: 3Q Preview

Contributing Analysts Kevin Near (Media)

With expectations of 15,000-20,000 broadband subscriber losses, Altice USA delivered a sobering outlook for 3Q, attributing it to poor execution, fiber-rollout delays, the impact of storms and back-to-school weakness. Management plans to shift its focus from buybacks and margin expansion to a much more aggressive fiber buildout over the next few years. While that should help turn things around over the long term, the cable operator is bound to be plagued by volatility in the near to medium term, especially given that buybacks were a key element of the Altice USA investment thesis.

For the full year, management expects to deliver few to no broadband additions vs. 72,000 in pre-pandemic years. Progress in mobile has also been lackluster (180,000 lines at 2Q's end), thereby delaying profitability. (10/04/21)

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Key Points:
- Altice USA Expects a Disappointing 3Q, With 15,000-20,000 Broadband Losses
- Video Subscriptions Under Pressure, With Consensus Calling for 59,000 Losses
- Fiber Deployment Will Ramp Up Shifting Focus Away From Buybacks
- Mobile Has Been Underwhelming With Only 180,000 Lines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

41. Altice USA Data Dims Yet Growth Runway Remains: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-2Q Earnings Outlook: The broadband party may be over for Altice USA, with the company reporting no new additions in 2Q, yet broadband revenue still rose a strong 8% thanks partly to higher-priced, 1-gigabit plans. We expect momentum to persist as broadband use keeps climbing and the fiber rollout, as well as edge-outs (expanding into adjacent markets), may be a longer-term driver of users. The company recently rebranded its mobile offering, yet net additions have slowed considerably, with only 5,000 gains in 2Q for a total of 180,000 mobile lines.

The company is on track to meet guidance of $1.5 billion of share repurchases in 2021 ($725 million in 1H). Though Ebitda was crimped due to one-time cost savings in 2Q20, the longer-term expectation is that Ebitda and free cash flow gains will continue to fuel buybacks. (07/29/21)

Highlights From Recent Results:
- Broadband Gains Slowed in 2Q, But Focus Shifting to Average Revenue Per User
- Guidance for 2021 Revenue, Ebitda Growth
- Altice USA Expects to Complete FTTH Deployment in Four Years at $1.3-$1.4 Billion Annual Budget; Over 1 Million Homes Covered
- Company Is Tracking In-Line With Its $1.5 Billion Buyback Target for 2021

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCC »

42. Free Cash Flow, Buybacks Aid Altice USA as Data Dips: 2Q Preview

Contributing Analysts Kevin Near (Media)

The broadband dazzle has started to fade for Altice USA as subscriber gains normalize and 2Q is susceptible to seasonality. Still, full-year broadband additions are expected to be better than 2019's 72,000, fueling low-single-digit Ebitda gains that should drive $1.5 billion in share buybacks for the year. Consensus is projecting $453 million in 2Q free cash flow but this may come under pressure in 2H with more of a capex push caused by Covid-related permitting delays. Even so, free cash flow should exceed $1.6 billion for the full year.

Despite an aggressive start, the mobile business seems to be experiencing a slowdown with only 174,000 mobile lines, though the company plans to ramp up its promotional efforts to add more customers. That will delay its profitability to 2023 (vs. prior projections of late-2020). (07/13/21)

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Key Points:
- Altice USA May Gain 16,000 Broadband Users as Additions Normalize
- Video Subscriptions Under Pressure With Consensus Projecting 52,000 Losses
- Fiber Deployment Will Ramp Up in 2021-22, Lead to Higher Capital Spending
- Focus on Share Repurchases as Guidance Calls $1.5 Billion for 2021

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

43. Altice USA Buyback Is Positive as Data Slows: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-1Q Earnings Outlook: A moderation in subscriber gains was inevitable following a blowout 2020, with Altice USA posting 11,500 broadband additions in 1Q vs. 50,000 a year earlier. When adjusted for storm-affected subscribers, net additions rose 20,000. Even as customer growth normalizes, we expect the operator's 1-Gig product to provide a significant upgrade opportunity, potentially boosting ARPU trends. Fiber rollouts continue to be a key focus with 1 million homes already fiber-ready, and management confirmed $1.3-$1.4 billion of associated capital spending for the year. Mobile has been growing slowly but surely and ended 1Q with 174,000 lines.

The company continues to push on buybacks and with $523 million of repurchases seems well positioned to exceed its guidance of $1.5 billion for the full year. (04/29/21)

Highlights From Recent Results:
- Broadband Gains Slowed in 1Q, But Focus Shifting to ARPU
- Guidance for 2021 Revenue, Ebitda Growth
- Altice USA Expects to Complete FTTH Deployment in Four Years at $1.3-$1.4 Billion Annual Budget; 1 Million Homes Covered
- Company Is Tracking Ahead of $1.5 Billion Buyback Target for 2021

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »
- Company Presentation | DOCV »

44. Altice USA Cruises Along as Buybacks Remain in Focus: 1Q Preview

Contributing Analysts Kevin Near (Media)

After a broadband blowout in 2020, subscriber gains should normalize in 2021, with consensus projecting Altice USA to post 17,000 broadband additions in 1Q. While growth will be 2H-weighted, management is confident it can exceed its 2019 subscriber additions of 72,000. Powered by strong Ebitda gains and free cash flow, the company remains a levered return-of-capital story and has guided to $1.5 billion in buybacks this year (about 10% of its market capitalization). Free cash flow for 2021 however will be curbed, given higher capital spending associated with its fiber buildout and also material cash taxes.

Even with its buyback focus, the company has been making small acquisitions and recently closed on its $310 million Morris Broadband deal, which allows it to expand its North Carolina footprint. (04/12/21)

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Key Points:
- Altice USA May Gain 17,000 Broadband Users as Additions Normalize
- Video Subscriptions Under Pressure, But Margin Maintains Strength
- Fiber Deployment Will Ramp Up in 2021-22, Lead to Higher Capital Spending
- Focus on Share Repurchases as Company Guided to $1.5 Billion for 2021

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

45. Altice USA Stable Amid Data, Buyback Cool-Down: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-4Q Earnings Outlook: After strong broadband customer gains through 3Q, Altice USA lost 4,300 data users in 4Q, yet gains were 9,100 when adjusted for Covid-19-related offers. Despite its somewhat conservative guidance for 2021, the investment thesis for Altice USA is as strong as ever given robust Ebitda margin and limited capital spending, even with its fiber deployments. This is because the operator has an opportunity to upgrade consumers to faster broadband tiers, despite net additions normalizing and expected to be in-line with 2018-19 levels of around 70,000-80,000.

Though management forecast $1.5 billion in 2021 buybacks, a sharp deceleration from the $4.8 billion in 2020, we expect the company to exceed its target, though it may keep some powder dry for potential M&A. (02/11/21)

Highlights From Recent Results:
- Broadband Gains Slowed in 4Q, But 2021 Outlook Still Strong
- Guidance for 2021 Revenue, Ebitda Growth
- Altice USA Expects to Complete FTTH Deployment in Four Years at About $1.3 Billion Annual Budget
- Buybacks Hit $4.8 Billion in 2020 After Sale of Stake in Lightpath Enterprise Division

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »
- Company Presentation | DOCV »

46. Altice USA Doubles Down on Buybacks, Cash Flow Rises: 4Q Preview

Altice USA's 4Q broadband additions may have almost doubled to 14,000 vs. the a year ago, according to consensus, with 1-Gig service available in over 90% of its footprint. Cost controls have enabled steady margin expansion, and fiber buildouts could help stem operating costs. The company will ramp up fiber deployments in 2021-22 after they were disrupted during Covid-19. Altice USA withdrew its bid for Atlantic Broadband, suggesting its near-term focus will be on capital returns rather than M&A, supported by a low-double-digit free cash flow yield.

An aggressive stance on share repurchases may narrow its valuation gap with peers, as buybacks for 2020 total $5 billion following a tender offer. The move reinforces the underlying strength in fundamentals, with management making use of proceeds from the Lightpath sale. (01/11/21)

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Key Points:
- Sustained Demand May See Altice USA Gain 14,000 Broadband Users, Momentum Could Slow in 2021
- Video Subscriptions Under Pressure, But Margins Maintain Strength
- Fiber Deployment Will Ramp Up in 2021-22, May Lead to Cuts in Longer-Term Operating Expenses
- Focus on Share Repurchases as Company Upped 2020 Target to $5 Billion

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

47. Altice USA Ups Buybacks as Broadband Cruises: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-3Q Earnings Outlook: Altice USA's guidance for revenue and Ebitda gains lends credence to its ability to generate consistent growth even in challenging circumstances. Broadband subscriber additions were up more than 70% vs. 3Q19 to 26,000 (excludes acquisitions) and should be able to extend momentum with new high-speed bundles, given the completion of its 1-gigabit rollout in its Optimum footprint. Excluding the impact of recent storms and mobile, adjusted Ebitda rose a better-than-expected 7.7%, and margin continues to expand, to 47.5% excluding mobile. Altice USA expects to keep annual capital spending at $1.3-$1.4 billion as it completes fiber deployments.

The company upped its share-buyback target to at least $2 billion from $1.7 billion. (10/30/20)

Highlights From Recent Results:
- Organic Broadband Gains of 26,000 Were Up 70% vs. 3Q19, Boosted by Covid-19
- 2020 Revenue, Ebitda Guidance Reinstated
- Altice USA Expects to Complete FTTH Deployment in Four Years at About $1.3 Billion Annual Budget
- Buybacks Boosted After Selling Lightpath Enterprise Division Stake

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

48. Altice USA Makes Bold M&A Play as Cable Data Climbs: 3Q Preview

Similar to cable peers, Altice USA is cashing in on surging demand for broadband connectivity, with consensus expecting almost 20,000 user gains in 3Q, 33% higher vs. the year-ago period. The good news is that the company is facing limited disconnects after its free internet offers related to Covid-19. Meanwhile, its joint bid with Rogers to acquire the Atlantic Broadband U.S. cable assets of Cogeco has been spurned. However, Altice's management has said that it will be opportunistic in pursuing other potential M&A, a logical move given it has shown past success in extracting cost savings.

Share repurchases have been an integral part of the strategy and absent any M&A, the company may use the $1.1 billion proceeds from its Lightpath sale to pursue aggressive buybacks. (10/05/20)

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Key Points:

- Sustained Demand May See Altice USA Top Bloomberg Consensus for Almost 20,000 Broadband Gains, in Our View
- Recession May Weigh on Video, Though Management Has Cited Limited Churn
- Fiber Deployment Has Slowed Temporarily, But Operating Expenses Will Be Cut Longer Term
- Mobile Is Gaining Steam With 144,000 Lines Since Fall Launch

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

49. Altice USA Broadband Boom to Feed on Fiber: Earnings Outlook

Contributing Analysts Kevin Near (Media)

Post-2Q Earnings Outlook: Altice USA's reinstatement of guidance for revenue and Ebitda lends credence to the company's ability to generate consistent growth even in challenging circumstances. New broadband subscribers additions, at 53,000 excluding free Internet offers, was up more than 300% vs. the year-ago period and should be able to extend momentum with new fiber bundles that offer 1-gig speeds. The current fiber network covers 10% of its footprint with Altice USA expecting the total upgrade to be done within four years ($1.3 billion annual capital spending) giving it a solid opportunity to upgrade customers to faster tiers.

The recent sale of a stake in the Lightpath business for after-tax proceeds of about $1.1 billion will help fuel a steady pace of share buybacks with a forecast of $1.7 billion for the year. (07/31/20)

Highlights From Recent Results:

- Broadband Gains of 53,000 Were 4x the Year-Ago Period, Boosted by Covid-19
- Company Reinstated Its Revenue and Ebitda Guidance For 2020
- Altice Expects to Complete FTTH Deployment in Four Years at an Annual Budget of About $1.3 Billion
- Altice's Stake Sale in Lightpath Enterprise Division Will Boost Buybacks

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCV »

50. Covid-19 Revs Altice USA Up in High-Speed Data Lane: 2Q Preview

Contributing Analysts Kevin Near (Media)

Cable broadband has been a big beneficiary of customers hunkering down at home, with Altice USA expected to get a bump in new subscriber additions in both its Optimum and Suddenlink segments, especially with its new low-cost service. While there has been heightened cord-cutting in the industry, management pointed to reduced churn. The company is committed to aggressively pushing ahead with a fiber-to-the-premises (FTTP) network upgrade in its footprint despite a slowdown caused by Covid-19 and expects to have deployed fiber to over 1 million homes by year-end. Mobile is also a key focus as the cable operator transitions over to the T-Mobile network following the T-Mobile-Sprint merger.

Longer-term, Altice USA expects low-double digit gains in broadband ARPU as customers upgrade to higher tiers, especially the 1-gig service. (07/06/20)

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Key Points:
- Altice USA May Exceed the Bloomberg Consensus Call for 18,000 Broadband Gains, Due to Covid-19
- Recession May Weigh on Video, Though Management Pointed to Lower Churn
- Fiber Deployment Has Slowed Temporarily, But Operating Expenses Will Be Cut Over the Longer-Term
- Mobile Is Gaining Steam With 110,000 Lines Since a Fall Launch

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

51. Altice USA Data Boom Brushes Off Virus Clouds: Earnings Outlook

Post-1Q Earnings Outlook: Stay-at-home is highlighting the value of broadband, and Altice USA's 1Q results were testament to this, with the operator exceeding estimates with 50,000 data additions. Over time, we expect the company to be able to upsell faster speeds to users, especially as it rolls out fiber and offers 1-Gigabit plans, boosting revenue per user (ARPU). Yet Covid-19 is exacerbating headwinds for the video segment, where the company lost 42,000 customers and may experience elevated losses. Altice Mobile is gaining traction -- albeit slowly -- with 110,000 total wireless lines.

The company withdrew guidance due to uncertainty, but buybacks remain a focus, with an estimated $1.7 billion in repurchases for the year. Capital-spending guidance was cut to less than $1.3 billion, mainly on a slowdown in wireless. (05/01/20)

Highlights From Recent Results:
- Altice USA's 50,000 Broadband Additions Were Boosted by Covid-19
- Video Trends Remain Weak Amid Elevated Cord-Cutting
- Company Expects to Buy Back $1.7 Billion of Stock in 2020
- Capex Will Be Less Than $1.3 Billion With Slowdown in Wireless

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

52. Altice USA’s Stable Cable Model Helps Fend Off Virus: 1Q Preview

A subscription-based model makes Altice USA's business defensive in a recession and the operator should report a stable 1Q, particularly with its broadband business getting a boost amid stay-at-home mandates from the new coronavirus pandemic. Bloomberg MODL consensus expects the company to post 26,000 new broadband subscribers in 1Q, almost 30% lower vs. the year-ago period, yet still reassuring, given the slowdown in 2H. Video will be a pain point with an estimated 29,000 customer losses and could worsen later with the recession. With broadband gains offset by video losses, we expect revenue to remain flat through the year vs. 2019's 2.5% gain and the company's guidance for 2-2.5% growth. 1Q revenue may get the benefit of a February interest-rate hike.

Altice USA may keep buying back shares despite its high leverage. (04/02/20)

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Key Points:
- Altice USA May Add 26,000 Broadband Subscribers in 1Q, Based on Bloomberg MODL, Consensus
- Non-Political Advertising May Be Challenged by Economic Downturn
- Cord-Cutting, Recession May Trigger Video Subscriber Losses

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »
- Analyst Estimates and Models | MODL »

53. Altice USA Shrugs Off Worries; 2020 Setup Good: Earnings Outlook

Post-4Q Earnings Outlook: Despite concerns about weakness in the broadband segment -- hit by customers rolling off promotions -- Altice USA added 7,000 broadband subscribers in 4Q and reaffirmed momentum for 1Q. The operator expects to add about 70,000 data customers in 2020, similar to the previous two years. It also made strides in wireless, adding 54,000 customers. Also, the T-Mobile/Sprint merger approval positions Altice USA as the most attractive wireless operator (thanks to its infrastructure-based deal). While 4Q Ebitda was pressured due to wireless expenses and tough political-ad comparisons, margins should improve in 2020, partly with a February rate hike.

Altice USA expects 2-2.5% sales growth in 2020 and share repurchases of $1.7 billion, similar to 2019. It bought a small cable company for $150 million. (02/13/20)

Highlights From Recent Results:
- Altice USA's 7,000 Broadband Additions in 4Q Came in Better Than Expected
- Video Trends Remain Weak Amid Elevated Cord-Cutting
- Company Expects to Buy Back $1.7 Billion of Stock in 2020
- Capex Will Stay at About $1.3-$1.4 Billion Even With FTTH Rollout

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

54. Altice USA Braces for 4Q Setback Amid Improving 2020: 4Q Preview

Altice USA likely faced a cluster of challenges in 4Q, including a decline in broadband subscribers triggered by a roll-off of both one- and two-year promotions, tough political-advertising comparisons and lower-than-expected mobile contributions. The confluence of these will depress 2019 revenue growth to 2.5%, the company has said, vs. prior expectations of 3-3.5%. However, management said it anticipates a return to growth starting in 1Q20. Mobile will be a key focus for 2020, when revenue should accelerate thanks to online-handset sales.

Despite a big push into fiber-to-the-home, the company expects to keep its capital spending within $1.3-$1.4 billion, even with elevated capex for mobile. The company bought back $1.7 billion of stock in 2019, but wasn't expected to make any repurchases in 4Q. (01/16/20)

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Key Points:
- Altice USA May Lose 6,600 Broadband Subscribers, Based on Bloomberg MODL, Consensus Due to Elevated Churn as Promotions Expire
- Advertising May Be Challenged by Tough Political Comparisons vs. Prior Year
- Mobile is Expected to Ramp Up Only in 2020
- Altice One Has Helped to Moderate Video-Subscriber Declines

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

55. Altice USA Faces 4Q Blip as Mobile Set to Fly: Earnings Outlook

Post-3Q Earnings Outlook: Tough political advertising comparisons, 4Q weakness in customer metrics and lower-than-expected mobile contributions will moderate Altice USA's 2019 revenue-growth expectations to 2.5%. Similar to its cable peers, the operator posted strong broadband subscriber gains, adding 14,900 new customers in 3Q, above the Bloomberg MODL consensus of 13,270. However, the company warned about elevated churn in 4Q as customers roll off promotions. Mobile revenue contributions may accelerate in 2020, when online handset sales are launched.

Entertainment hub Altice One has also experienced good traction, helping pare video losses to 31,900, in-line with Bloomberg's MODL consensus. Altice USA has an efficient cost structure and its $5 billion buyback program shows a commitment to capital returns. (11/06/19)

Highlights From Recent Results:
- Data Additions in 3Q Exceeded Consensus, But 4Q Faces Churn
- Altice One Has Helped Stem Video Subscriber Declines
- Advertising Was Hurt by Tough Political Comparisons to Last Year
- Mobile Startup Costs Weighed on Bottom Line

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCC »
- Company Presentation | DOCC »

56. Altice USA Chugs Along on Cable as Mobile Takes Off: 3Q Preview

Altice USA should extend its positive subscriber trend, with an estimated 13,270 broadband additions in 3Q, based on Bloomberg MODL consensus, in-line with 3Q18 -- a feat given competitive pressures. While the video segment will continue to lose customers, the company still raised revenue-growth guidance to 3-3.5% vs. 2.5-3%, attributable to Altice One defying the industrywide video malaise. Altice launched its mobile service in September at an aggressive $20 a month. We don't expect the service to post substantial gains until next year and launch costs may weigh on the 3Q bottom line. The lack of political ads in 2019 also creates tough comparisons.

Altice has an efficient cost structure and its three-year, $5 billion buyback program shows a commitment to capital return. (10/16/19)

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Key Points:
- Altice USA May Add 13,270 New Broadband Connections, According to Bloomberg's MODL Consensus
- Company Upgraded Revenue-Growth Guidance Last Quarter to 3-3.5% for 2019 vs. Prior 2.5-3% Estimate
- Capital Spending May Rise to $1.3-$1.4 Billion in 2019 on Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion
- Altice USA to Focus on Shareholder Returns With $5 Billion of Repurchases Planned in Next Three Years

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

57. Altice USA Dazzles on User Metrics, Ups Views: Earnings Outlook

Post-2Q Earnings Outlook: Altice USA continues to demonstrate momentum, not only in subscriber trends but also in an efficient cost structure and a focus on capital returns as seen by its new three-year, $5 billion buyback program. Broadband gains of 13,000 were ahead of Bloomberg MODL consensus, reflecting continued strength in a seasonally weak quarter. The company raised revenue-growth guidance to 3-3.5% vs. 2.5-3%, attributable to Altice One defying the general industry-wide video malaise. The company is on track to introduce its mobile product over the summer, which will be priced very attractively vs. peers thanks to its partnership with Sprint.

Altice USA is reviewing alternatives for its Lightpath enterprise division, which could fetch about $3 billion and boost buybacks even further. (08/01/19)

Highlights From Recent Results:
- Video Declines of 21,000 Were Slightly Better Than Bloomberg's MODL Consensus of 27,000
- Broadband Gains of 13,100 Were Higher vs. Bloomberg MODL Consensus of 11,000 in a Seasonally Weak 2Q
- Company Upgraded Its Revenue-Growth Guidance to 3-3.5% for 2019 vs. Prior 2.5-3% Estimate
- Capital Spending May Rise to $1.3-$1.4 Billion in 2019 on Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion
- Altice Still Exploring Sale of Lightpath Enterprise Division

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

58. Altice USA Cruises on Cable; Mobile Set to Take Wing: 2Q Preview

Altice USA should continue to ride healthy cable momentum in a seasonally weak 2Q, especially in broadband, where an exponential increase in streaming is prompting users to select higher-speed tiers. The company has managed to defy the pay-TV ecosystem's video malaise, paring its 1Q subscriber losses by 67%, partly attributable to the expansion of its Altice One entertainment hub (12% of customers). Solid metrics set the company up to reach its 2.5-3% revenue growth target for the year, along with margin expansion thanks to a lean cost structure. Capital spending will be slightly elevated but still below $1.4 billion, even with the deployment of fiber and mobile investments.

A new mobile service in partnership with Sprint may debut this summer. The company is targeting $1.5 billion in 2019 share buybacks. (07/09/19)

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Key Points:
- Strong Broadband Gains Should Continue to Offset Lingering Video Declines
- Capital Spending May Rise to $1.3-$1.4 Billion in 2019 on Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion
- Company Expects 2.5-3% Revenue Gain This Year
- Altice USA to Focus on Shareholder Returns With $1.5 Billion of Repurchases Planned for 2019

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

59. Solid Trends at Altice USA as Mobile Looms: Earnings Outlook

Post-1Q Earnings Outlook: Altice USA has defied the general malaise in the cable industry with improvement in the video segment, paring subscriber losses by 67%, partly attributed to the expansion of its Altice One entertainment hub (12% of customers). Broadband continues to power the company, with customer additions up 42%. Solid metrics set the company up to reach its 2.5-3% revenue growth target for the year, along with margin expansion. Capital spending will be slightly elevated but still remain below $1.4 billion even with the deployment of fiber and investments in mobile. A new mobile service with Sprint will debut this summer. The company is targeting $1.5 billion in 2019 share buybacks.

The company just spent $200 million for streaming start-up service Cheddar to increase its presence in news. (05/03/19)

Highlights From Recent Results:
- Pay-TV Declines Moderated as Altice Lost 10,200 Subscribers in 1Q vs. 30,000 a Year Earlier
- Capital Spending May Rise to $1.3-$1.4 Billion in 2019 on Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion
- Altice USA to Focus on Shareholder Returns With $1.5 Billion of Repurchases Planned for 2019
- Altice May Explore Sale of Lightpath Enterprise Division

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »

60. Share Buybacks, Rate Hikes to Power Altice USA: 1Q Preview

Altice USA is poised to shift gears to shareholder returns with $1.5 billion of repurchases planned for 2019. Subscriber trends have improved as video losses have moderated and broadband momentum persists. Thanks partly to a price increase in 1Q, the company projects a 2.5-3% revenue gain in 2019, which will be weighted to 1H. Capital spending is expected to remain about $1.3-$1.4 billion, even with fiber and mobile investments. The company is expected to launch its mobile service this year thanks to a deal with Sprint.

A plan to dispose of its Lightpath enterprise fiber unit for a potential $3 billion could boost Altice USA's share buybacks while streamlining its portfolio and accelerating growth. (04/23/19)

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Key Points:
- Altice USA to Focus on Shareholder Returns With $1.5 Billion of Repurchases Planned for 2019
- Company Expects 2.5-3% Revenue Gain This Year
- Capital Spending May Rise to $1.3-$1.4 Billion in 2019 on Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion
- Altice May Explore Sale of Lightpath Enterprise Division

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

61. Altice USA Steady; Preps for Mobile, Buybacks: Earnings Outlook

Post-4Q Earnings Outlook: With its M&A integration and IPO listing under its belt, Altice USA is poised to shift gears to shareholder returns with $1.5 billion of repurchases planned for 2019. Subscriber trends have improved, with video losses moderating and sustained momentum in broadband. Revenue rose 4% in 4Q, with adjusted Ebitda jumping almost 8%, thanks to a recent price increase. The company is projecting a 2.5-3% revenue gain in 2019, and capex is expected to remain in the $1.3-$1.4 billion range, even with fiber and mobile investments.

Altice USA is balancing buybacks with a 4.5x-5x leverage target as well as investments in mobile. The company could eventually explore a sales of its Lightpath business-services division. (02/22/19)

Highlights From Recent Results:
- Pay-TV Challenges Moderate as Altice Lost 15,000 Subscribers in 4Q vs. 25,000 a Year Earlier
- 2.5-3% Revenue Gain Forecast for 2019
- Capex May Grow to $1.3-$1.4 Billion in 2019 on Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion
- Margin Continues to Expand, Reaching a 45.1% High
- Altice May Explore a Sale of its Business-Services Division Lightpath

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCC »
- Company Presentation | DOCC »

62. Altice USA Primed for Buybacks as Trends Improve: 4Q Preview

Shareholder returns will be a key focus for Altice USA amid the post-spinoff, $2 billion repurchase program, with the company targeting up to $500 million in buybacks in 2018. Altice is poised to sustain revenue and Ebitda momentum through 4Q thanks to a recently implemented price hike. Management has reiterated its guidance for 2.5-3% revenue gains in 2018 and an expansion of Ebitda margin. While video remains challenged, losses have moderated due to the rollout of its Altice One hub, with the service available to more than 80% of Altice USA's footprint.

Broadband has remained stable and should get a boost from fiber deployment. The other big initiative this year will be the launch of a mobile service in 1H. (01/12/19)

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Key Points:
- Broadband Trends Stabilize Ahead of Fiber Ramp-Up
- Recent Price Hikes Should Improve Revenue and Ebitda Growth Momentum Through 4Q
- A 2.5-3% Sales Gain Projected for 2018 vs. 1.8% in 2017
- Video Challenges May Moderate on Altice One Hub Rollout

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

63. Altice USA Looks to Buyback as Trends Steady: Earnings Outlook

Contributing Analysts Paul T Sweeney

Post-3Q Earnings Outlook: Altice USA is poised to sustain revenue and Ebitda momentum through 4Q after sales rose 4.1% in 3Q, thanks to a recently implemented price hike. Management reiterated its guidance for 2.5-3% revenue gains in 2018 and an expansion of Ebitda margin. While video trends remain challenged, they moderated from last year due to the rollout of its Altice One hub, reaching over 200,000 unique customers in 3Q. The service is now available to more than 80% of Altice USA's footprint. Broadband remained stable with about 14,000 net additions.

Shareholder returns are also a focus, given the post-spinoff $2 billion repurchase program, with the company targeting up to $500 million in buybacks in 2018. (11/06/18)

Highlights From Recent Results:
- Altice USA's Video Challenges Moderate, With 28,000 Net Losses in 3Q vs. 33,000 the Prior Year
- Broadband Trends Stabilize as Company Adds 14,000 Net Subs in 3Q
- A 2.5-3% Sales Gain Projected for 2018 vs. 1.8% in 2017
- Even With Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion Company Sees Annual Capex Less Than $1.3 Billion

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Company Presentation | DOCC »

64. Altice USA Set for Sales Rev Up as Cable Clouds Lift: 3Q Preview

Contributing Analysts Paul T Sweeney

Altice USA is set to benefit from a 3% price hike implemented at the end of June, which should kick up revenue momentum and help the company reach 2.5-3% sales growth in 2018. While video losses have stabilized and are expected to improve with the rollout of the Altice One hub, a carriage dispute with New Fox may cast clouds. Mobile and fiber are the other two big focus areas, with the company projecting about 300,000 fiber-ready homes by year-end.

Shareholder returns are also a focus, given the post-spinoff $2 billion buyback authorization as the company seeks to reduce shares outstanding by 25% over the next 18 months and capitalize on a stock price that has languished on weak sentiment for the broader cable sector. The stock has regained momentum on strong broadband gains. (10/05/18)

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Key Points:
- Altice USA's Video Trends Should Improve Thanks to One Hub Rollout
- Broadband Gains Should Build Momentum With the Company Projecting About 300,000 Fiber-Ready Homes by Year-End
- A 2.5-3% Sales Gain Projected for 2018 vs. 1.8% in 2017
- $1.3 Billion of 2018 Capex Expected, Even With Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

65. Altice USA Stabilizes Trends Ahead of Buyback: Earnings Outlook

Contributing Analysts Paul T Sweeney

Post-2Q Earnings Outlook: Altice USA has stabilized subscriber trends, suggesting normalized residential pay-TV growth. The cable operator pared 2Q video losses to 24,000, an improvement from both last year and the prior quarter, when it was hurt by a carriage dispute with Starz. Broadband gains were higher vs. the year-earlier period despite the seasonality. The company expects to drive better customer metrics with its Altice One platform and to launch its MVNO mobile service in 2019. Shareholder return is also a focus, given its post-spinoff $2 billion buyback authorization as it aims to capitalize on a stock price that's been languishing since May.

Management reiterated guidance for 2.5-3% revenue gains this year and will hold its capital expenditure fairly steady at $1.3 billion. (08/03/18)

Highlights From Recent Results:
- Altice USA's Video Challenges Moderate, Losses Pared
- Broadband Gains Should Build Momentum With the Fiber Rollout
- A 2.5-3% Sales Gain Projected for 2018 vs. 1.8% in 2017
- $1.3 Billion of 2018 Capex Expected, Even With Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCC »

66. Altice USA Set for Comeback After 1Q Subscriber Blip: 2Q Preview

Contributing Analysts Paul T Sweeney

Altice USA's video results should stabilize after 1Q was hurt by Optimum's severe-weather-related declines and a carriage dispute with Starz. Ramping up commercial deployment of the Altice One box will support video, especially through the Suddenlink footprint. Broadband growth is also likely to be steady, even in a seasonally weak period, and sustained investments in its fiber network should help Altice gain and retain customers in the medium-to-long term.

The company is projecting 2.5-3% revenue growth for 2018 (vs. 1.8% in 2017) with capital spending at $1.3 billion. Those investments should help Altice expand its adjusted Ebitda and margins over the next few years. In June, Altice USA formally separated from its European parent. (07/14/18)

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Key Points:

- Altice USA Video Subscriber Declines Should Moderate in 2Q, Aided by Expanded Deployment of Altice One
- Broadband Gains Likely to Persist Despite a Seasonally Weak Period
- Altice USA is Projecting 2.5-3% Sales Gain in 2018 (vs. 1.8% in 2017)
- $1.3 Billion of 2018 Capex Even With Increased Investment in Altice One, FTTH Deployment and MVNO Network Expansion

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

67. Free From Parent Trap, Altice USA to Stabilize: Earnings Outlook

Contributing Analysts Paul T Sweeney

Post-1Q Earnings Outlook: Altice USA is set to finally shrug off its stock overhang with its spinoff from parent Altice NV in June, which will increase its free float to 42% from 10%. Video results may stabilize after 1Q was hurt by Optimum's losses from severe weather and a carriage dispute with Starz. Ramping up commercial deployment of the Altice One box will support video. Broadband growth was steady, with the operator gaining 26,000 subscribers in 1Q. Investment in the fiber network will help Altice gain and retain customers in the medium to long term.

The company is projecting 2.5-3% revenue growth for 2018 (vs. 1.8% in 2017) with projected capital spending at $1.3 billion. Those investments should help Altice expand its adjusted Ebitda and margins over the next few years. (05/10/18)

Highlights From Recent Results:

- 30,000 Video Subscriber Losses on a Starz Dispute and Bad Weather
- Advertising Revenue Will Get 2H Boost From Elections
- Altice USA Expects 2.5-3% Revenue Growth in 2018
- Pending Spinoff From Parent Should Insulate Altice USA From European Weakness

Additional Resources:

- Analyzer | BI »
- Earnings Release | DOCC »
- Company Presentation | DOCC »

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